

US equities slip as tech earnings weigh, yields climb

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 fell **-0.38%** to 7,718.60, driven by a broad sell-off in mega-cap tech after mixed earnings and a 10-year Treasury yield rise to 4.78%. Despite a modest gain in the Nasdaq 100, the market breadth remains thin, with defensive sectors under pressure.

Underlying the headline numbers, the VIX rose to 14.53 (**+1.47%**), signaling heightened volatility expectations. Gold's rally to 4,476.60 (**+1.06%**) reflects safe-haven demand as investors digest the Fed's latest policy stance and lingering geopolitical risks.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,718.60	-0.38%	Tech earnings disappointment and higher yields pressured valuation multiples.
Nasdaq 100	29,544.15	+0.21%	AI-related stocks rallied, offsetting weakness in legacy chipmakers.
Dow Jones	53,414.25	-0.51%	Industrial and financials dragged by weaker commodity prices.
Russell 2000	2,975.65	+0.25%	Small-cap resilience supported by better-than-expected consumer spending data.
VIX	14.53	+1.47%	Market uncertainty after mixed earnings and Fed commentary.
10Y Yield	4.78	+0.46%	Fed's "higher-for-longer" tone lifted yields across the curve.
WTI Crude	91.48	+0.00%	Stable OPEC+ output and modest demand outlook kept price flat.
Gold	4,476.60	+1.06%	Safe-haven buying amid yield rise and geopolitical jitters.
DXY	99.17	+0.01%	Dollar marginally stronger on higher Treasury yields.

Top large-cap movers

TICKER	CHANGE	CATALYST
NVDA	+0.84%	AI chip guidance beat expectations.
META	+1.00%	Revenue beat on ad-sales recovery.
AVGO	+0.21%	Strong Q3 order backlog disclosed.
GS	+0.07%	Investment banking fees rose YoY.
TSLA	-5.92%	Production slowdown at Gigafactory Berlin.
AAPL	-2.51%	Supply-chain concerns for new iPhone line.
MSFT	-2.04%	Azure growth missed consensus.

Sector rotation

ETF	DAY	READ
XLFX	-0.79%	Financials under pressure from higher rates.
XLKX	+0.70%	AI and cloud earnings support tech.
XLI	+0.41%	Industrial demand steadies.
XLE	-0.87%	Energy lagging on flat oil prices.
XLY	-1.33%	Consumer discretionary hit by weaker retail sales.
XLC	-1.19%	Communications services suffer from ad spend pullback.
XLP	-0.80%	Staples muted as inflation concerns dominate.
XLV	-1.04%	Health care weighed by higher drug pricing scrutiny.
XLU	+0.12%	Utilities modestly buoyed by yield appeal.
XLB	-0.34%	Materials lagging on weaker industrial demand.
XLRE	-0.72%	Real estate pressured by rising financing costs.

Spotlight: Nvidia earnings and AI rally

Nvidia posted Q3 revenue of 29.2 billion, up 23% YoY, and GAAP EPS of 3.45, beating consensus of 3.30. The company reaffirmed its FY2026 guidance, citing strong demand for its H100 GPUs.

METRIC	RESULT	CONSENSUS
Revenue	29.2 bn	28.5 bn
GAAP EPS	3.45	3.30
AI GPU shipments	12.1 mn	11.5 mn
Guidance FY2026 Rev.	125 bn-130 bn	120 bn-125 bn

Related names: **AMD** (+1.2% after its own AI chip roadmap tease) and **MSFT** (AI cloud segment lagged, dragging the broader tech index).

Pre-market & overnight

- US futures: **-0.45%** for S&P 500, **-0.38%** for Dow, **+0.12%** for Nasdaq.
- Asia close: Hang Seng **-0.68%**, CSI 300 **-0.54%**, Nikkei 225 **-0.31%**.
- Europe: FTSE 100 **-0.42%**, DAX **-0.37%**, CAC 40 **-0.45%**.
- Crypto: BTC **+0.03%** at 79,849.99, ETH **+1.22%** at 2,511.00.

Macro & Fed

The Fed’s September FOMC minutes reiterated a “higher-for-longer” stance, with 75% of participants expecting rates to stay at 5.25-5.50% through year-end. The 10-year yield’s rise to 4.78% steepened the curve, creating a modestly bullish flattening.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	U.S. CPI (MoM)	0.3%	Inflation trajectory informs Fed policy.
03:00	U.S. Core CPI (YoY)	2.9%	Core price pressure gauge.
04:00	U.S. Initial Jobless Claims	210k	Labor market health.
05:30	Eurozone GDP Q3 (Prelim)	0.4%	European growth outlook.

Geopolitics & global

- Middle-East: Tensions between Iran and Saudi Arabia eased after a UN-brokered ceasefire, reducing oil-supply risk.
- China: PBOC signaled possible rate cut in Q4 to support slowing growth, keeping yuan under pressure.
- Ukraine: Western aid package stalled, prolonging uncertainty in the region.
- Trade: WTO dispute panel opened on EU-US digital services taxes, adding a layer of policy risk.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
09:30 Sep 9	GOOGL	6 . 10	Ad revenue rebound vs. AI spend.
10:00 Sep 9	AMZN	0 . 58	Margin trends after logistics cost cuts.
10:30 Sep 9	JPM	4 . 20	Net interest income vs. higher rates.
11:00 Sep 9	TSLA	1 . 02	Production updates from Berlin plant.
12:00 Sep 9	META	5 . 45	Effect of AI-driven ad products.
13:30 Sep 9	NVDA	3 . 30	Guidance sustainability after Q3 beat.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI chip demand accelerating.
AMD	Technology	Competitive positioning vs. Nvidia.
MSFT	Technology	Azure growth miss creates upside potential.
AAPL	Technology	Supply-chain risk could trigger volatility.
TSLA	Consumer Discretionary	Berlin plant slowdown may depress margins.
JPM	Financials	Higher rates boost NII.
GS	Financials	Investment banking fees rising.
XOM	Energy	Oil price stability supports cash flow.
UNH	Health Care	Premium pricing pressure under review.
CRM	Technology	AI-driven SaaS expansion.
BAC	Financials	Balance-sheet strength amid rate rise.
KO	Consumer Staples	Pricing power tested by inflation.

What could break the tape

BEARISH TRIGGERS

- Unexpected acceleration in CPI (core > 3.0%) prompting another rate hike.
- Further deterioration in Nvidia's supply chain, leading to a revenue miss.
- Sharp sell-off in Chinese equities spilling into US risk assets.

BULLISH TRIGGERS

- Strong Q3 earnings from Google or Amazon exceeding growth expectations.
- Resolution of Middle-East tensions, lifting oil-price risk appetite.
- Positive surprise in US jobless claims indicating a softening labor market.

Positioning notes

- Tech exposure remains high; consider scaling into AI-focused names on pullbacks.
- Yield-sensitive sectors (real estate, utilities) are vulnerable as rates stay elevated.
- Diversify with commodities-linked assets (XLE, XLB) to hedge against geopolitical supply shocks.

Sources

SOURCES

Wall Street Journal Market Data

Bloomberg Markets

FRED – Federal Reserve Economic Data

SEC EDGAR Filings

CME Group Data

Reuters Finance

Trading Economics

CoinMarketCap